

[Benedict laughs long and hard. He calls a broker on the speakerphone whom he has dealt with since the preelectronic trading days. They reminisce about some of the “rip-offs” Benedict experienced when orders were filled exclusively in the pits. The most egregious of these was Benedict getting a fill on a buy order at the low of the day, and then, later in the day, being told he no longer had a fill because the pit committee had invalidated the low of the day. For my benefit, Benedict next asked his broker friend to describe his demeanor in some of these situations.]

What was I like on the phone 10 years ago?

[Broker on speakerphone in a tone exaggerated to express obvious sarcasm] You were wonderful. You were always kind to me.

No, give me a straight answer.

[Broker] We considered making a tape called “Benny’s Greatest Fits” [Benny being Larry Benedict’s nickname].

I have someone here who is interviewing me, and I’m trying to explain the difference between executing orders now versus what it was like when orders went to the floor.

[Broker] You can’t even compare the two.

I was explaining that I made money back at that time despite the disadvantage.

[Broker] It was the greatest disadvantage.

[Benedict thanks his friend and hangs up.]

The inherent disadvantage was that my order went into the pit, and they would yell, “86 for 400.” You didn’t have to be that smart to know that you could bid $86\frac{1}{4}$ because there were 400 bid at 86. It was a huge disadvantage. Now no one knows anything because the trade is on the computer.

What is the last time you lost your temper, and who were you angry with?

About four days ago. I was angry at myself. I ripped out the phone and threw it against the wall. I am the worst sore loser you ever met. I am brutal on myself. I can make money 9 days out of 10 and still be so angry about losing on the 10th day.